

complaint

Mr and Mrs R complain about Aviva Insurance Limited's decision to suspend subsidence cover under their buildings insurance policy.

background

Following movement at their property, Mr and Mrs R made a claim through the courts against Aviva for failing to identify and remedy the subsidence. A court order stated Aviva should pay £80,000 in full and final settlement of the claim.

Mr and Mrs R then made a second claim to Aviva for subsidence damage – they thought some drainage repairs carried out by Aviva had caused new movement at their property. Aviva didn't think there'd been new movement, so it didn't accept the claim.

Mr and Mrs R brought a complaint to this service. My ombudsman colleague didn't think the evidence supported there was a new claim for Aviva to consider. She thought the subject matter of the complaint had already been considered by the courts. Because of this, she didn't think it was appropriate for this service to consider the matter, and so dismissed the complaint.

Matters then moved on. As Mr and Mrs R hadn't carried out subsidence repairs to their property, Aviva chose to suspend subsidence cover until the repairs were done. Unhappy with this, Mr and Mrs R brought a new complaint to this service.

Our adjudicator upheld the complaint. He recommended Aviva reinstate the cover if Mr and Mrs R carried out the repair work that Aviva thought was necessary.

Aviva thought the £80,000 it had paid to Mr and Mrs R was enough to carry out the necessary repairs. But as Mr and Mrs R hadn't done the repairs, it said it would only agree to reinstate Mr and Mrs R's subsidence cover if they paid an £80,000 excess.

Mr and Mrs R didn't accept Aviva's offer. The matter has therefore been passed to me.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Mr and Mrs R say there's been new movement to their property since Aviva carried out drain repairs in 2011. They want me to tell Aviva to either carry out underpinning or pay them the rebuild value of their home. But this part of their complaint was considered previously by my ombudsman colleague. She didn't think there had been new movement. Although I understand Mr and Mrs R disagree with that decision, I can't revisit this part of their complaint.

I've therefore only considered whether or not it was reasonable for Aviva to suspend Mr and Mrs R's subsidence cover.

When a property has suffered from subsidence, the insurer for that property is expected to continue providing subsidence cover. This is because of the difficulties policyholders face in

obtaining cover with a new insurer. But in this case, I think it was appropriate for Aviva to suspend Mr and Mrs R's subsidence cover. I'll explain why.

Mr and Mrs R received £80,000 from Aviva in full and final settlement of their subsidence claim, yet no subsidence repairs have been carried out. I accept their point that the court order didn't impose any requirements on how the £80,000 was to be spent. But given that it was paid in full and final settlement of the subsidence claim, I think it was reasonable for Aviva to expect Mr and Mrs R to use the money towards carrying out repairs to the property - particularly as Aviva thought the money would cover the cost of the repairs needed.

As Mr and Mrs R didn't carry out any repairs, this means that the subsidence problem is continuing. Aviva isn't liable to carry out any repairs relating to this movement (given that the subsidence claim has been settled through the courts). But it doesn't seem fair to expect Aviva to carry out further monitoring or investigations into future subsidence claims, when the initial problem hasn't been put right.

Following the court order, Aviva did initially continue to provide Mr and Mrs R with subsidence cover. Mr and Mrs R reported new movement, but after investigating this, Aviva found that the movement was ongoing from the initial subsidence claim. So this is an example of where Aviva has spent time and resources investigating a claim that was found to be related to the initial subsidence problem.

I agree with the adjudicator that if Mr and Mrs R carry out the subsidence repairs that Aviva considers to be necessary, then the cover should be reinstated. Alternatively, if Mr and Mrs R don't want to do this, but still want subsidence cover for future movement, then Aviva has given them the option of having cover with an £80,000 excess.

my final decision

My final decision is that I uphold this complaint. I require Aviva Insurance Limited to reinstate the subsidence cover if Mr and Mrs R carry out the subsidence repairs to their property that Aviva considers to be necessary.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr and Mrs R to let me know whether they accept or reject my decision before 11 January 2016.

Chantelle Hurn-Ryan
ombudsman